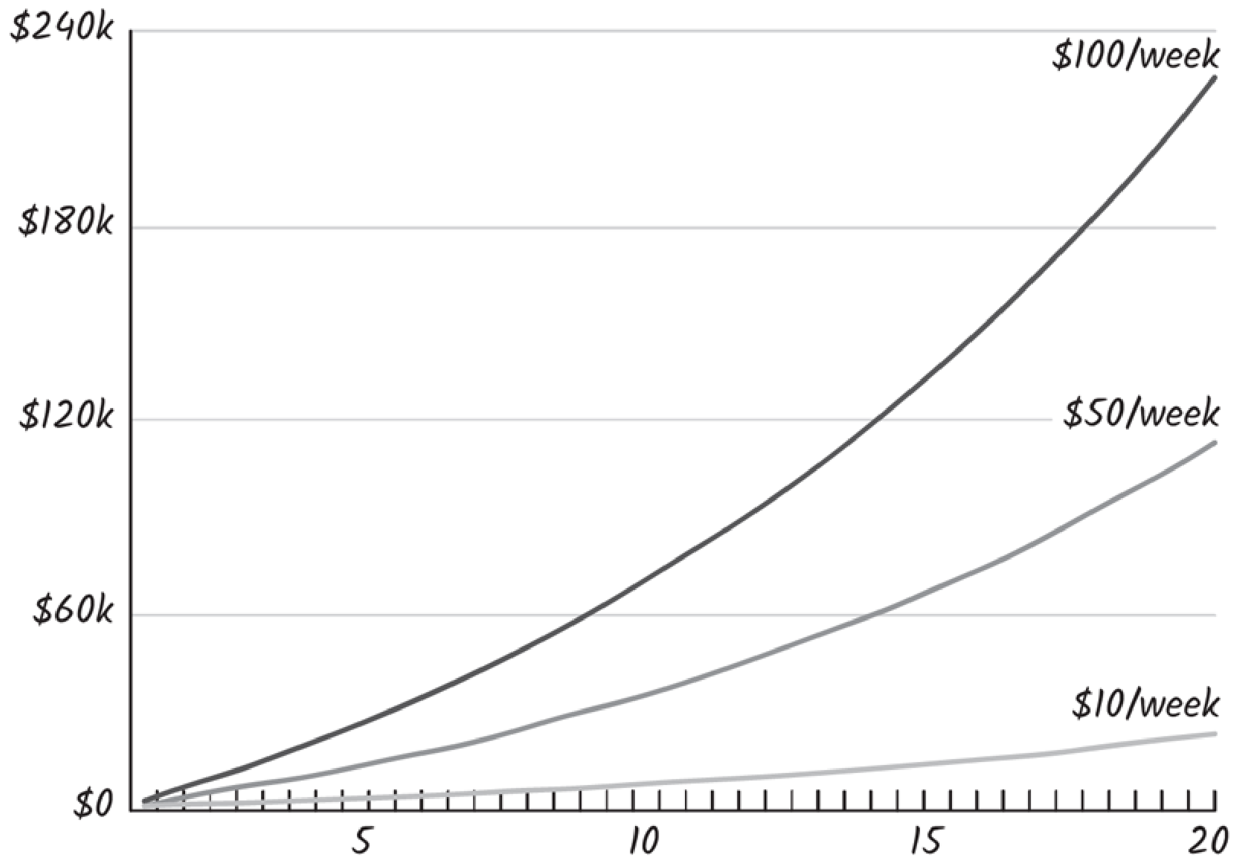


Figure 13.2: weekly investment growth compounding over 20 years

The beauty of compounding is that it doesn't rely on huge amounts of money upfront. It's the small, consistent investing that adds up, especially when you give it time. The earlier you start, the more powerful compounding becomes, because time does the heavy lifting for you.

## *What to do when markets drop … spoiler: nothing*

One of the hardest parts of investing is learning to do nothing when markets take a dip (and yes, at some point in your investing journey, it will). But doing nothing is often exactly what you need to do.

The media loves dramatic headlines. You've probably seen them: *Billions wiped off the market in 24 hours! The biggest crash since the GFC!*

It's designed to grab your attention, fuel fear and keep you watching. But here's the reality: market downturns are completely normal. They've always happened, and they always will. What matters most isn't the drop itself, it's how you respond to it.